

Enterprise value was used instead of merely the price of equity (i.e., total market capitalization, share price multiplied by shares outstanding) because enterprise value takes into account both the price paid for an equity stake in a business as well as the debt financing used by a company to help generate operating earnings. By using EBIT (which looks at actual operating earnings before interest expenses and taxes) and comparing it to enterprise value, we can calculate the pre-tax earnings yield on the full purchase price of the business (i.e., pre-tax operating earnings relative to the price of equity plus any debt assumed). This allows us to put companies with different levels of debt and different tax rates on equal footing when comparing earnings yields.

For example, in the case of an office building purchased for \$1 million with an \$800,000 mortgage and \$200,000 in equity, the price of equity is \$200,000 but the enterprise value is \$1 million. If the building generates EBIT (earnings before interest and taxes) of \$100,000, then EBIT/EV or the pre-tax earnings yield would be 10 percent ($\$100,000/\$1,000,000$). However, the use of debt can greatly skew the apparent returns from the purchase of these same assets when only the price of equity is considered. Assuming an interest rate of 6 percent on an \$800,000 mortgage and a 40 percent corporate tax rate, the pre-tax earnings yield on our equity purchase price of \$200,000 would appear to be 26 percent. As debt levels change, this pre-tax earnings yield on equity would keep changing, yet the \$1 million cost of the building and the \$100,000 EBIT generated by that building would remain unchanged. In other words, P/E and E/P are greatly influenced by changes in debt levels and tax rates, while EBIT/EV is not.³

We looked at the 2,500 largest companies in the U.S. In the first test, we ranked the stocks based on the EBIT/EV ratio. We used Compustat's Point-in-Time database, which is the actual data that was available as of any given past date, so there is no look-ahead bias. That database starts in 1988, so we started our test from that date.

The twist that Warren Buffett put on Graham's method was that it is nice to buy cheap businesses, but if you can buy a good business cheap, that is even better. One of the metrics Buffett used to decide whether a company